

Alphabet Inc.

GOOGL NASDAQ

Buy	\$319.19 ▲ 0.47%	12M Price Target \$375.00	52-Week Range \$187.82 – \$408.61	Market Cap \$3.93T
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GOOGL: Tariff Shock Overdone, Earnings Setup Looks Juicy

WHAT HAPPENED

- GOOGL got smoked Wednesday (-7% to \$317) as Trump's new tariffs kicked in and triggered a broad tech rout — the market's freaking out about semiconductor supply chains and cloud capex getting more expensive. Today it's barely bouncing (+0.47%) on tiny volume (8M vs. 69M yesterday), which tells me nobody's aggressively buying the dip yet — they're waiting for earnings next week.
- The unusual options activity is loud: someone bought 3,566 deep-in-the-money \$395 puts expiring THIS WEEK — that's not a directional bet, that's likely a hedge or a synthetic short someone put on before earnings. Pay attention.

WHY IT MATTERS

Here's what I think is really going on: the tariff selloff is a gift if you believe in the business, because Alphabet isn't a hardware company — tariffs on physical goods barely touch Search, YouTube, or Google Cloud's software margins. The real risk tariffs create is second-order: if they raise the cost of Nvidia chips and data center equipment, GOOGL's capex just got more expensive, which could compress cloud margins near-term. But — and this is key — Google is the ONLY hyperscaler with its own custom silicon (TPUs), so they're actually less exposed to chip tariffs than Microsoft or Amazon. The market is punishing them like they're a semiconductor stock; they're not.

POLICY & POLITICAL WATCH

Three policy threads to watch right now: (1) the new Trump tariffs that kicked in this week — specifically whether semiconductor equipment gets pulled into the next round, which would raise data center buildout costs; (2) the ongoing DOJ antitrust remedy phase on Search — the government is still pushing for Chrome divestiture, and any ruling in the next 6 months is a wild card; (3) the AI executive orders around federal procurement — Google Cloud is winning government AI contracts (JWCC, various DoD deals), and if federal AI spending accelerates as expected, that's a direct tailwind. Net-net: policy environment is mixed, but the AI/federal spending tailwind probably outweighs the antitrust overhang for now.

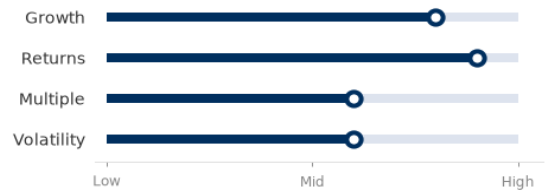
IS IT EXPENSIVE?

At \$319 with roughly \$10 in forward EPS, you're paying about 32x next year's earnings — that's not cheap, but it's the lowest multiple GOOGL has traded at in over a year, and it's actually below Microsoft (~35x) and way below Nvidia. For every \$1 of earnings, you're paying \$32 — reasonable when the company is growing revenue ~13% and cloud is growing 30%+. If they beat next week's earnings, the multiple re-rates higher fast; if they miss on cloud, we're looking at \$290 quick.

Key Data

Price (USD)	\$319.19
12M Price Target	\$375.00
Upside / (Downside)	+17.5%
Market Cap	\$3.93T
FY2026E Revenue	\$415M
FY2027E Revenue	\$470M
FY2026E EPS	\$9.85
FY2027E EPS	\$11.60
Fwd P/E	32.4x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$350.00	\$330.00	\$295.00
6 Months	\$385.00	\$355.00	\$280.00
1 Year	\$420.00	\$375.00	\$265.00
2 Years	\$500.00	\$425.00	\$260.00
5 Years	\$700.00	\$550.00	\$300.00
10 Years	\$1100.00	\$800.00	\$400.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Real Estate (+2.2%) and Energy (+0.96%) — classic defensive/inflation-hedge rotation as tariffs stoke inflation fears. Comm Services bounced today (+1%) but is still down almost 4% on the week — that's where GOOGL lives.

COOLING OFF: Tech broadly is under pressure from the tariff news; semiconductors got hit hardest. The "AI trade" is being questioned for the first time in months.

ROTATION WATCH: Money is rotating OUT of high-multiple tech and INTO real assets (REITs, energy) — that's a headwind for GOOGL short-term but usually reverses within weeks if earnings hold up. Watch for the rotation to unwind fast if MSFT/META print good numbers next week.

RELATED PLAY: If you like the AI infrastructure story but want less mega-cap exposure, data center REITs (EQIX, DLR) benefit from the same capex wave and are already catching a bid from the sector rotation.

WHO'S WINNING IN THIS SPACE?

- META (Meta Platforms): Also selling off but holding up better than GOOGL — investors see Meta's ad business as more insulated from tariffs and their AI capex story is clearer.
- MSFT (Microsoft): Getting analyst love (D.A. Davidson piece today) — seen as the "safer" mega-cap AI play into earnings, which is siphoning capital from GOOGL.

GOOGL CONTEXT: GOOGL is LAGGING its mega-cap peers into earnings, which is actually setup-friendly — expectations are lower, the stock is beaten up, and any decent print causes a bigger relief rally than in MSFT where expectations are sky-high.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — I like this setup a lot; the tariff selloff is a mispricing on a business that barely touches physical goods, and earnings next week is the catalyst.

POSITION SIZE: 4-6% — big enough to matter, small enough that if antitrust or a bad print hits, you're not blown up. This is a core holding, not a trade.

ENTRY POINTS: I'd buy some here at \$319, add on any dip to \$310-315, and back up the truck under \$305. Don't chase above \$335 into earnings.

TIME HORIZON: 12-24 months. Near-term catalyst is earnings next Tuesday/Wednesday; medium-term catalyst is Gemini/AI Search monetization data through 2027.

WHEN TO BAIL: If cloud growth prints under 25% YoY, or if the DOJ actually gets a Chrome divestiture order, I trim hard. If revenue misses by 5%+, reassess.

HEDGING: If you're nervous into earnings, buy a cheap put spread (buy the \$310 put, sell the \$290 put) — costs a little, caps your downside if the print is ugly. Or just size smaller and sleep better.